

Dump 'Em Jim had plenty—plus the extra capital to hold on until the stock took a downward turn and finally landed at \$2. Also, he didn't sit around waiting for the disaster to happen. Like their colleagues on the long side, short-sellers get out and drum up clients for their bad news, calling the lenders and the big investors, planting negative stories in the *Wall Street Journal*, and telling as many people as possible the horrors of the company they've shorted. Short-sellers, in this way, are Devil's Analysts, and several companies thought Dump 'Em Jim Chanos was the most devilish. "They claim I'm a menace," he protested. "But I'm not a menace. I just want people to know the truth."

Since his success with Baldwin-United, Dump 'Em Jim made a career of selling short, and continued to search for terrible situations. His job was helped along by the hordes of regular Wall Street analysts whom Dump 'Em Jim described as absurdly optimistic, and who he said wouldn't have seen the hole in the *Titanic* if they'd stuck their head in it, and who would only have downgraded the czar's empire from a "highly recommended" to a "strong hold." There was a messianic fervor in his short-selling, which he regarded as a cleansing for the folly in the market, an antidote to the self-serving promotions of the brokerage-house research against which he competed.

"What are you shorting right now?" I asked. "Texas," he said. "If I could short New York real estate I'd do that, but I haven't found a way yet, and so I'll settle for Texas. Texas banks, Texas cafeterias, Texas oil-service companies, and especially all the secondary companies. I'm shorting them all and I can wait."

Shorting required a lot of patience and a lot of money to cover yourself. Since I had little of either, I decided against following the lead of Dump 'Em Jim. Later, I changed my mind, as you'll see.